

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle — June 26

The Problem

Three signals turning from grey to red:

Signal	Why
No DAO legal wrapper	No member liability shield, no DAO bank account, no clear answer for "what entity do TDG holders govern?"
No impact fund channel	Impact funds, foundations, corporate ESG have no entity to write checks to
Personal bank account	Gary's personal account is the bottleneck — more volume = more personal risk

The Solution

Form a Wyoming UNA via OtoCo this week. Cost: ~\$50 gas.

That's it. The UNA is a legal entity with:

- Liability protection for members
- Ability to open a bank account
- A clear answer for TDG holders: "you govern the UNA"
- A counterparty for impact funds to write checks to

If we later hit 100+ members by mutual consent under a governing agreement, we can elect to form a DUNA. But the UNA works today.

The Structure

Wyoming UNA (nonprofit, DAO legal wrapper) — formed this week for ~\$50

- Own bank account (partner contributions + impact fund capital)
- TDG holders govern the UNA (pseudonymous — wallet only)
- Contractual relationship with TrueTech Inc

TrueTech Inc (Delaware C-corp, independent entity)

- Own cap table and shareholders (Gary)
- Own bank account (commercial operations: imports, sales, revenue)
- May buy back TDG at NAV using operating cash reserves (discretionary)

- Buyback reserve formula published on truesight.me

Brazilian LTDA (CNPJ) = export facility (eventual future goal)

Key decisions (already resolved)

- TrueTech Inc: Independent entity, not a DUNA subsidiary. Separate cap table. Contractual relationship. Avoids UBIT.
- Bank accounts: Two separate — TrueTech Inc (commercial) + UNA (mission/treasury)
- TDG buyback: TrueTech may buy back at NAV using operating cash. Formula on truesight.me. Discretionary, not guaranteed.
- Wise: Primary banking platform. Handles standard transfers + PIX. Venmo/Zelle/Western Union executed manually.
- Withdrawal flow: Member submits DApp request to TrueTech issues cash to TDG deducted from ledger to burned

What We're Doing This Week

Action	Cost	Timeline
Form UNA via OtoCo (2 wallets sign)	~\$50 gas	1 day
Open TrueTech Inc Wise Business account	\$0-500	1-2 days
Get UNA EIN from IRS	\$0	Online, instant
Open UNA Wise Business account	\$0	2-4 weeks

Total cost to get started: ~\$50-550. We have ~\$4,126 in the Main Ledger.

The One Question for SVH Capital

"We're forming a Wyoming UNA via OtoCo this week. TDG is issued to contributors for work (cacao logistics, contribution scoring, development, onboarding) and grants governance rights. It is not a financial security or profit-sharing instrument. Does this pass the Howey Test?"

That's it. The structure is resolved. We don't need advisory on governance, impact mechanics, or entity design. We just need a narrow legal opinion on whether TDG is a security.

What We're NOT Doing (Yet)

Thing	Why Not	When
501(c)(3) application	Costs \$2K-10K. Not needed until impact funds require tax-deductible receipts.	6-12 months
Brazilian CNPJ ownership	Costs \$1K-3K + legal counsel. Matheus's private CNPJ works for now.	Future
DUNA formation	Requires 100+ members by mutual consent. UNA works as stopgap.	When eligible
Multi-entity accounting	\$2K-5K/yr. Not needed at current scale.	When revenue grows

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